Management's Discussion and Analysis

February 25, 2013

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or the "Company"), 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products, and fresh pasta and sauces. The Company employs approximately 6,400 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen par-baked bakery products sold in North America and the U.K. bakery business which specializes in bagels, croissants, and specialty breads.

FINANCIAL OVERVIEW

Canada Bread sales decreased 1.8% to $1,567.3 million for the year compared to $1,595.5 million in 2011. After adjusting for the sale of the Company's fresh sandwich product line, the closure of a bakery in the U.K., and currency translation on sales in the U.S. and U.K., sales were consistent with last year. The Company as a whole benefited from both the full year impact of 2011 price increases and pricing implemented during 2012, as well as higher volumes in the North American frozen bakery business. These benefits were offset by volume declines in the fresh pasta, U.K., and fresh bread businesses.

Adjusted Operating Earnings[(1)] increased 5.5% to $115.9 million in 2012, compared to $109.8 million last year due to earnings improvement in the fresh bread, frozen bakery, and U.K. bakery businesses, partly offset by lower earnings in the fresh pasta business. The Company as a whole benefited from the impact of price increases discussed above and positive hedging activities that reduced raw material costs. Also contributing to improved earnings were overhead savings from bakery consolidation initiatives and lower duplicative overhead costs associated with production transfers to the new Hamilton fresh bakery. These factors were partially offset by higher inflationary costs across the Company and lower volumes in the fresh bread business, particularly during the first quarter. Lower earnings in the fresh pasta business were due to supply chain issues encountered during the year that resulted in lower volumes and higher operational costs.

Adjusted Earnings per Share[(2)] was $3.26 per share in 2012, down from $3.43 per share last year. Adjusted Earnings per Share in 2011 included $0.49 per share related to a tax adjustment associated with a prior acquisition.

Net earnings in 2012 were $74.2 million ($2.92 basic earnings per share) compared to $52.0 million ($2.04 basic earnings per share) last year. Included in 2012 net earnings were $11.1 million pre-tax restructuring costs (2011: $46.4 million).

Notes:

(1) Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income/expense.

(2) Adjusted Earnings per Share is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 24 of this Management's Discussion and Analysis for a description and reconciliation of all non-IFRS financial measures.

SELECTED FINANCIAL INFORMATION

The following table summarizes selected financial information for the three years ended December 31:

($ millions except earnings per share ("EPS") figures)	**2012**	2011	2010
Sales	**$ 1,567.3**	$ 1,595.5	$ 1,588.4
Adjusted Operating Earnings[(i)]	**$ 115.9**	$ 109.8	$ 111.5
Net earnings	**$ 74.2**	$ 52.0	$ 62.1
Basic and diluted EPS	**$ 2.92**	$ 2.04	$ 2.44
Adjusted EPS[(i)]	**$ 3.26**	$ 3.43	$ 2.90
Total assets	**$ 970.0**	$ 964.5	$ 912.9
Net Debt (Cash)[(i)]	**$ (87.1)**	$ (52.0)	$ (72.7)
Total long-term liabilities	**$ 85.2**	$ 78.9	$ 68.9
Return on Net Assets ("RONA")[(i)]	**11.6%**	10.3%	12.6%
Cash provided by operating activities	**$ 109.1**	$ 103.1	$ 90.9
Dividends declared per share	**$ 1.70**	$ 0.66	$ 0.24

(i) *Please refer to the section entitled Non-IFRS Financial Measures starting on page 24 of this document for a description of all non-IFRS financial measures.*

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Fluctuating Input Prices

Changes in input prices have a significant influence on both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in the Company's operations.

The price of wheat has been volatile and on an increasing trend in the past several years. Wheat prices have recently been influenced by several factors, including, but not limited to:

- Changing demand from export markets;
- Crop yields and supply shortfalls due to severe droughts in North America during 2012; and
- "Food for Fuel" initiatives sponsored by the U.S. government that have resulted in increased demand for grains, in particular corn, that is used for ethanol production, and decreased land set aside for other crops such as wheat.

Beginning in 2007, strong demand from export markets and shortfalls in world crops led to sharp increases in wheat prices that reached peak levels in mid-2008. Towards the end of 2008, prices started to decline, and remained lower throughout 2009 compared to 2008. In the second half of 2010, wheat prices rose by approximately 75%. That trend continued in the first six months of 2011, and despite some small declines in the second half of the year, prices remained at a relatively high level for the remainder of 2011. Average prices in 2012 were largely consistent with 2011. The Company continues to utilize forward contracts as part of its hedging strategy to provide some protection against the effects of higher wheat costs, but the Company's primary responses to rapidly increasing input costs have been to increase prices for its products and continuing to seek out efficiencies in its operations.

The following tables outline the changes in key commodity prices that have impacted the Company's business and financial results:

Wheat (USD per bushel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 8.66**	**$ 8.67**	$ 8.15	$ 7.92	$ 9.41	$ 9.20
2011	**$ 8.50**	**$ 9.07**	$ 9.21	$ 9.46	$ 8.77	$ 8.84
Change	**1.8%**	**-4.4%**	-11.6%	-16.3%	7.3%	4.1%
2010	**$ 8.82**	**$ 6.23**	$ 5.15	$ 5.13	$ 6.82	$ 7.81

[1] *Daily close prices (Source: Minneapolis Wheat Exchange)*

Wheat (CAD per bushel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 8.61**	**$ 8.66**	$ 8.15	$ 8.00	$ 9.37	$ 9.12
2011	**$ 8.64**	**$ 8.97**	$ 9.08	$ 9.15	$ 8.60	$ 9.04
Change	**-0.3%**	**-3.5%**	-10.2%	-12.6%	8.9%	0.9%
2010	**$ 8.87**	**$ 6.40**	$ 5.36	$ 5.27	$ 7.11	$ 7.88

[1] *Daily close prices (Source: Minneapolis Wheat Exchange and Bank of Canada)*

Oil (USD per barrel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 91.83**	**$ 94.11**	$ 102.88	$ 93.43	$ 92.18	$ 87.96
2011	**$ 98.83**	**$ 94.88**	$ 93.54	$ 102.23	$ 89.72	$ 94.01
Change	**-7.1%**	**-0.8%**	10.0%	-8.6%	2.7%	-6.4%
2010	**$ 91.38**	**$ 79.48**	$ 78.64	$ 77.79	$ 76.05	$ 85.10

[1] *Daily close prices (Source: Cushing, OK WTI Spot Prices FOB)*

USD/CAD exchange rates[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 1.0051**	**$ 1.0007**	$ 0.9991	$ 0.9900	$ 1.0049	$ 1.0087
2011	**$ 0.9833**	**$ 1.0117**	$ 1.0146	$ 1.0332	$ 1.0202	$ 0.9777
Change	**2.2%**	**-1.1%**	-1.5%	-4.2%	-1.5%	3.2%
2010	**$ 1.0054**	**$ 0.9709**	$ 0.9618	$ 0.9729	$ 0.9622	$ 0.9871

[1] *Daily close prices (Source: Bank of Canada)*

SUPPLY CHAIN STRATEGY

In order to maintain earnings growth and support innovation and growth strategies, Management has determined that opportunities exist to increase supply chain efficiencies by consolidating production from several older and smaller bakeries into focused centres of excellence.

In the fresh bread operations, an extensive network of mid-sized facilities located across Canada creates the opportunity to consolidate some bakeries to drive efficiencies and provide additional capacity to support innovation and category expansion. As a result, in January 2010, the Company announced plans to build a new efficient fresh bakery in southwestern Ontario, replacing three existing older and smaller facilities located in that region. In mid-2011, the Company commissioned this state-of-the-art 385,000 square foot fresh bakery in Hamilton, Ontario. Three bakeries in the Greater Toronto Area are being closed to consolidate production into the Hamilton facility. Two bakeries closed in the first quarter of 2012. Closure of the third Ontario bakery is planned for the second quarter of 2013. During the fourth quarter of 2011, the fresh bread business also decommissioned and transferred production from its Delta, British Columbia location to other bakeries to increase plant network efficiencies. The Company plans to further consolidate production in 2013 by closing its bakery in Grand Falls, New Brunswick and a bakery in Edmonton, Alberta in the first half of 2013.

The Company also has an opportunity to streamline supply chain operations in its frozen bakery business. In March 2011, the Company closed its frozen bakery in Laval, Quebec, and transferred production to other facilities. In March 2012, the Company closed its bakery in Walsall, U.K. as part of a plan to focus production in its core categories of bagels, croissants and specialty breads. The Company is also constructing an addition to its bagel facility in the U.K., expected to be completed in 2013.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate its information technology systems onto a single platform in order to standardize processes, reduce costs and enable a shared services structure. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed approach to implementation. Successful execution has been enabled by changing existing businesses to standardized SAP processes, limiting any software modifications and rigorous master data controls. By the end of 2011, SAP had been fully installed across the entire North American frozen bakery operation, as well as numerous sites within the fresh bread business including the Atlantic Region, Western Region and the new efficient facility in Hamilton, Ontario.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ millions)	**2012**	2011[1]	Change	2010
Fresh Bakery	**$ 1,059.9**	$ 1,087.3	-2.5%	$ 1,086.8
Frozen Bakery	**$ 507.4**	$ 508.1	-0.1%	$ 501.6
Total sales	**$ 1,567.3**	$ 1,595.5	-1.8%	$ 1,588.4

[1] *May not add due to rounding.*

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	**2012**	2011	Change	2010[1]
Fresh Bakery	**$ 91.2**	$ 99.9	-8.7%	$ 100.2
Frozen Bakery	**$ 24.7**	$ 9.9	148.6%	$ 11.4
Adjusted Operating Earnings	**$ 115.9**	$ 109.8	5.5%	$ 111.5

[1] *May not add due to rounding.*

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales of $1,059.9 million in 2012 declined 2.5% from $1,087.3 million last year. After adjusting for the sale of the Company's fresh sandwich product line, sales decreased 2.1%, as volumes declined in both the fresh bread and fresh pasta businesses. This was partly offset by the full year impact of price increases implemented during 2011 in the fresh bread business.

Adjusted Operating Earnings decreased 8.7% in 2012 to $91.2 million compared to $99.9 million last year, as lower earnings in the fresh pasta business were partly offset by year-over-year earnings improvements in the fresh bread business. The fresh pasta business encountered supply chain issues during the year that resulted in lower volumes and higher operational costs. Earnings in this business were also negatively impacted by higher input costs, unfavourable sales mix, increased promotional spending, and an inventory adjustment during the first quarter of 2012.

In the fresh bread business, earnings increased due to a combination of price increases implemented during 2011 and positive hedging activities that reduced raw material costs. Also contributing to earnings were overhead savings resulting from the closure of a bakery in Delta, British Columbia and increasing efficiencies in the newly commissioned Hamilton, Ontario bakery. Partially offsetting these benefits were the impact of lower industry volumes, primarily in the first quarter, and higher inflationary costs.

In 2011, the Company was operating three smaller bakeries in the Greater Toronto Area as it gradually consolidated production at its new fresh bakery in Hamilton, Ontario. During 2012, two of these facilities were closed, reducing duplicative overhead costs year-over-year. Closure of the third Ontario bakery is planned for the second quarter of 2013.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales of $507.4 million in 2012 were consistent with last year. After adjusting for the closure of a bakery in the U.K. and currency translation, sales increased 4.3%, largely attributable to improved volumes, sales mix, and higher selling prices in the North American business.

Adjusted Operating Earnings in Frozen Bakery increased to $24.7 million in 2012 compared to $9.9 million last year, mainly due to improved performance at the North American bakery. The business benefited from higher pricing and volumes, as well as positive hedging activities that reduced raw material costs, partly offset by higher inflationary costs. In the U.K., earnings increased due to an improved sales mix and overhead savings from the closure of a bakery in Walsall, U.K. and the related exit of low margin bread categories in early 2012. In addition, promotional spending was lower due to the costs in 2011 associated with re-launching the New York Bakery™ bagel brand. These improvements were partly offset by lower volumes and higher inflationary costs.

GROSS MARGIN

Gross margin increased to $311.5 million (19.9% of sales) in 2012 from $311.0 million (19.5% of sales) last year. The increase as a percentage of sales was driven primarily by the full year benefit of price increases implemented during 2011 in the fresh bread business as well as during 2011 and 2012 at the North American frozen bakery business. Although the Company benefited from positive hedging activities that lowered raw material costs, this was offset by higher other inflationary costs, resulting in no net improvement to gross margin.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in 2012 decreased 2.8% to $195.7 million from $201.2 million last year, representing 12.5% and 12.6% of sales respectively. The decrease is attributable to lower compensation expense across most administrative functions, as well as higher marketing spending that occurred in 2011 to support the re-launch of the Company's New York Bakery bagels in the U.K. These savings were partly offset by higher advertising and promotional spending in the fresh pasta business.

OTHER INCOME/EXPENSE

Other income for 2012 was $1.6 million compared to $0.4 million in 2011. Other income in 2012 primarily comprises of proceeds from a legal settlement of $1.4 million, related to the Company's fresh sandwich product line, which was sold in 2011.

RESTRUCTURING AND OTHER RELATED COSTS

During the year ended December 31, 2012, the Company recorded restructuring and other related costs of $11.9 million ($9.4 million after-tax), before the impact of any reversals in the year. After reversals, the Company recorded $11.1 million ($8.6 million after-tax).

Of this pre-tax amount, $5.8 million was incurred by the U.K. bakery business related to accelerated depreciation and other costs in connection with the closure of two bakeries, in Walsall and London. A further $5.5 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.6 million was incurred in connection with other on-going restructuring initiatives of the Company.

During the year ended December 31, 2011, the Company recorded restructuring costs of $46.4 million ($35.3 million after-tax). Of this pre-tax amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancelation charges of $7.8 million, asset write-downs and accelerated depreciation of $11.7 million and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec frozen bakery and the Delta, British Columbia fresh bakery and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other on-going restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2012, all on a pre-tax basis:

	Severance	**Site closing**	**Asset impairment and accelerated depreciation**	**Retention**	**Pension**	**Total**
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**1,605**	**4,155**	**5,324**	**596**	**270**	**11,950**
Reversals	**(331)**	**(379)**	**(14)**	**(153)**	**–**	**(877)**
Cash payments	**(10,464)**	**(6,448)**	**–**	**(940)**	**–**	**(17,852)**
Other	**781**	**(144)**	**–**	**(637)**	**–**	**–**
Non-cash items	**–**	**(30)**	**(5,310)**	**–**	**(270)**	**(5,610)**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	15,299	9,027	21,011	1,020	–	46,357
Cash payments	(11,552)	(2,365)	–	(208)	–	(14,125)
Non-cash items	–	(1,342)	(21,011)	–	–	(22,353)
Balance at December 31, 2011	$ 14,975	$ 6,776	$ –	$ 1,196	$ –	$ 22,947

INTEREST EXPENSE

Interest expense for 2012 was $1.5 million compared to $1.1 million last year. The increase in interest expense is primarily due to a decrease in interest income. The Company's average effective cost of borrowing for 2012 was approximately 3.7% (2011: 3.8%).

INCOME TAXES

The Company's income tax expense was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 28.5% (2011: 20.0%) and taxes recoverable on restructuring and other related costs at a rate of 22.2% (2011: 23.8%). The lower tax rate on operating earnings in 2011 was a result of the Company recording income tax reductions aggregating $12.4 million for the year, primarily comprised of adjustments arising from a prior acquisition in its fresh bread business. The Company's effective tax rate for 2011 before these adjustments was 31.4%.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf, and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions. Services provided by Maple Leaf to the Company under the Intercompany Management Services Agreement, as described on page 16, are generally charged on a cost recovery basis by Maple Leaf.

Fees paid to Maple Leaf in 2012 for various services were $49.3 million (2011: $47.4 million). These services are set out in greater detail below.

General Services

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma continuous improvement resources, senior Maple Leaf management time for operating involvement, merger and acquisition transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2012 for these services pursuant to an Intercompany Management Services Agreement between the Company and Maple Leaf made effective January 1, 2012 were $14.2 million (2011: $15.3 million).

Information Systems Services

During 2012, the Company received certain information system services from Maple Leaf for a cost of $26.6 million (2011: $22.0 million). The increase from the prior year was due to higher depreciation expenses associated with SAP installations completed in 2011.

Engineering Services

During 2012, the Company received certain engineering services from Maple Leaf for a cost of $1.2 million (2011: $1.9 million). The decrease was directly related to lower levels of engineering required in the construction of the Company's new bakery in Hamilton, Ontario.

Marketing Services

During 2012, the Company received certain marketing and consumer services from Maple Leaf for a cost of $3.5 million (2011: $3.7 million), largely consistent with prior year charges.

Six Sigma Services

During 2012, Six Sigma fees charged to the Company amounted to $3.8 million (2011: $4.5 million). The decrease was attributable to lower continuous improvement resources required during 2012.

Logistics

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party of the Company until December 2, 2011. For the period of 2011 during which Day & Ross Transportation Group was a related party, the Company incurred costs of $2.2 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices.

Other Items

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This is described more fully in Note 12 in the consolidated financial statements.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8 in the consolidated financial statements. The Company's contributions to these plans were $12.1 million in 2012 (2011: $13.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the management services agreement.

Remuneration of key management of the Company was comprised of the following expenses:

($ thousands)	**2012**	2011
Short-term employee benefits		
Salaries, bonuses and fees	**$ 5,446**	$ 6,358
Company car allowance	**187**	153
Other benefits	**416**	68
Total short-term employee benefits	**6,049**	$ 6,579
Post-employment benefits	**560**	520
Share-based benefits[(i)]	**6,336**	4,697
Total remuneration	**$ 12,945**	$ 11,796

(i) *The share-based benefits were granted by the Company's parent company.*

During 2011 and 2012, key management personnel of the Company did not exercise any share options granted under Maple Leaf Share Incentive Plan.

ACQUISITIONS AND DIVESTITURES

On September 30, 2011, the Company acquired the business, excluding fixed assets, of Humber Valley Bakery, a small fresh bakery in Newfoundland for $0.6 million, with the value assigned to intangibles and customer relationships. The Company incorporated the production into its existing facilities.

On April 11, 2011, the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprised its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million.

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf Foods that bears interest based on short-term interest rates. The new credit facility replaced the Company's $250.0 million revolving credit facility that matured on June 30, 2012. Both facilities are unsecured and subject to certain financial covenants. As at December 31, 2012 the Company was in compliance with all of its financial covenants.

As at December 31, 2012, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $94.9 million (2011: $273.8 million), and available cash of $90.4 million (2011: $56.1 million). There were $11.2 million in letters of credit outstanding as at December 31, 2012 (2011: $9.8 million).

To access competitively priced financing, and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA-. The receivables are sold at a discount to face value based on prevailing money market rates. At year end, the Company had $95.3 million (2011: $91.1 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $51.2 million (2011: $45.3 million) and a note receivable in the amount of $44.1 million (2011: $45.8 million). The maximum amount available to the Company under this program is $60.0 million. The facility expires in October 2013 and Management expects to renew the facility prior to its expiration date.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the year 2012. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in 2012 were $44.5 million, compared to $112.5 million last year. A significant portion of the spending in 2011 was related to the construction of the new fresh bakery in Hamilton, Ontario.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $87.1 million at the end of 2012, compared to $52.0 million as at December 31, 2011. The increase in cash for the year is mainly due to cash generated from operations offset by increased dividend payments and investment in property and equipment.

Cash Flow from Operating Activities

Cash flow from continuing operations in 2012 was $109.1 million compared to $103.1 million last year. The increase is mainly attributable to higher Adjusted Operating Earnings.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $36.5 million in 2012 compared to an outflow of $16.8 million last year, due to an increase in the rate of the quarterly dividend payment compared to the prior year.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $38.3 million in 2012 compared to an outflow of $106.9 million last year, as a result of decreased capital expenditures primarily related to the completion of the new bakery facility in Hamilton, Ontario.

CONTRACTUAL OBLIGATIONS

The following is a summary of certain of the Company's material contractual obligations as at December 31, 2012:

Payments due by fiscal year:

($ millions)	**Total**	2013	2014	2015	2016	2017	Thereafter
Long-term debt[(i)]	**$ 3.3**	$ 0.3	$ 0.4	$ 0.4	$ 0.4	$ 1.8	$ –
Lease obligations	**62.6**	19.1	14.1	9.7	6.1	3.8	9.8
Total contractual obligations	**$ 65.9**	$ 19.4	$ 14.5	$ 10.1	$ 6.5	$ 5.6	$ 9.8

(i) *Does not include accounts payable and accruals, notes payable due to Maple Leaf, dividends payable, and contractual interest payments on long-term debt.*

As at December 31, 2012, the Company had entered into construction contracts of $0.4 million (2011: $8.8 million) relating to the new bakery in Hamilton, Ontario.

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in Notes 12 and 18 in the consolidated financial statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Through the normal course of its business, the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets, and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedge accounting portfolio.

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily Net Debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2012, total equity increased by $21.9 million to $685.5 million. During the same period, total cash and cash equivalents net of debt increased by $35.1 million from an asset position of $52.0 million to $87.1 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2012 approximately $0.5 million (2011: $0.6 million) of the Company's accounts receivable were greater than 60 days past due, primarily due to timing issues related to a process change. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at December 31, 2012, the Company has recorded an allowance for doubtful accounts of nil (2011: $1.9 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 34.7% (2011: 41.0%) of consolidated pre-securitized accounts receivable at December 31, 2012 and the two largest customers comprise approximately 30.4% (2011: 30.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2012, the Company had available undrawn committed credit of $48.4 million (2011: $247.6 million) under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company uses interest rate swaps, from time to time, to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings.

As at December 31, 2012, 96.9% (2011: 96.7%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency to which the Company is exposed is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options.

The Company applies the "normal purchases" classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For a comprehensive discussion on the Company's risk management practices and derivative exposures, refer to the Financial Instruments Note 14 in the consolidated financial statements.

SHARE CAPITAL AND DIVIDENDS

In 2012, the Company declared dividends of $1.70 per qualifying common share (2011: $0.66), representing aggregate dividend declarations of $43.2 million in 2012 (2011: $16.8 million).

As of December 31, 2012, there were 25,416,812 common shares of the Company issued and outstanding.

OTHER MATTERS

On February 25, 2013, Canada Bread declared a dividend of $0.50 per share payable on April 1, 2013 to shareholders of record at the close of business on March 8, 2013. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

EMPLOYEE BENEFIT PLANS

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During 2012, due to a decrease in both discount rates and actual asset return rates, employee benefit liabilities reflected on the Company's balance sheet were re-valued. This resulted in an increase in employee benefit liabilities of $8.8 million (2011: $19.5 million). The effect of this adjustment was recorded by a $8.8 million, $6.5 million after-tax, decrease in other comprehensive income (2011: $19.5 million, $14.4 million after-tax). The adjustment further resulted in an increase in the deferred tax asset of $2.3 million (2011: $5.1 million) and a $6.5 million decrease in retained earnings (2011: $14.4 million).

Management considers that these adjustments were the result of significant market volatility that affected the valuation of plan assets and liabilities.

The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2012 were $7.3 million (2011: $8.3 million).

The Company plans to contribute $13.6 million to the pension plans in 2013, inclusive of defined contribution plans and the multi-employer plans.

SUBSEQUENT EVENTS

On January 30, 2013, the Company announced plans to close a bakery in Grand Falls, New Brunswick on June 28, 2013 and a bakery in Edmonton, Alberta on March 30, 2013. The Company will incur approximately $6.3 million before taxes in restructuring costs, of which approximately $4.2 million are cash costs.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

(Unaudited)		First quarter	Second quarter	Third quarter	Fourth quarter	Full year
Sales[i]	**2012**	**$ 370,244**	**$ 404,861**	**$ 401,494**	**$ 390,701**	**$ 1,567,300**
	2011	371,760	406,245	417,171	400,280	1,595,456
	2010	381,932	402,062	411,364	393,079	1,588,437
Net earnings (loss)[i]	**2012**	**$ 839**	**$ 26,775**	**$ 24,215**	**$ 22,371**	**$ 74,200**
	2011	(966)	14,904	30,256	7,757	51,951
	2010	12,969	20,949	14,313	13,841	62,072
Earnings (loss) per share						
Basic and diluted[i]	**2012**	**$ 0.03**	**$ 1.05**	**$ 0.95**	**$ 0.88**	**$ 2.92**
	2011	(0.04)	0.59	1.19	0.31	2.04
	2010	0.51	0.82	0.56	0.54	2.44
Adjusted EPS[i], [ii]	**2012**	**$ 0.21**	**$ 1.09**	**$ 0.96**	**$ 1.00**	**$ 3.26**
	2011	0.56	0.97	1.24	0.67	3.43
	2010	0.56	0.85	0.87	0.62	2.90

[i] *May not add due to rounding*

[ii] *Please refer to Non-IFRS Financial Measures starting on page 24*

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses
- supply chain issues experienced in the fresh pasta business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower raw material costs as a result of positive hedging activities
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound, which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bread business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotional spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bread Western Canada operations in the fourth quarter
- restructuring and other related costs
- income tax adjustments of $2.4 million in the first quarter and $9.8 million in the third quarter arising from a prior acquisition in its fresh bread business, which resulted in a lower tax rate on operating earnings in the first and third quarters of 2011

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SUMMARY OF 2012 FOURTH QUARTER RESULTS

The following is a summary of sales by business segment:

(Unaudited)	Fourth Quarter	
($ millions)	**2012**	2011
Fresh Bakery	**$ 254.8**	$ 262.0
Frozen Bakery	**135.9**	138.3
Sales	**$ 390.7**	$ 400.3

The following is a summary of Adjusted Operating Earnings by business segment:

(Unaudited)	Fourth Quarter	
($ millions)	**2012**	2011
Fresh Bakery	**$ 24.6**	$ 19.5
Frozen Bakery	**10.8**	6.7
Adjusted Operating Earnings[(i)]	**$ 35.4**	$ 26.2

(i) *Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in the press release dated February 26, 2013 concerning the Company's financial results for the fourth quarter of 2012 for a description and reconciliation.*

Sales for the fourth quarter decreased 2.4% to $390.7 million compared to $400.3 million last year. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales decreased 0.4%. Higher prices and volumes in the North American and U.K. frozen bakery businesses were offset by lower volumes and unfavourable sales mix in the fresh pasta business. Volumes in the fresh bread business were consistent with last year.

Adjusted Operating Earnings for the fourth quarter increased 35.3% to $35.4 million compared to $26.2 million last year. Earnings growth in the fresh bread and North American frozen bakery businesses was partly offset by lower earnings in the fresh pasta business, while earnings in the U.K. bakery operations were consistent with last year. Margin expansion in the fresh bread business was primarily due to increased operating efficiencies, lower duplicative overhead costs

associated with the new Hamilton bakery, and higher costs in 2011 related to the implementation of SAP in Western Canada that were not repeated. The Company also benefited from positive hedging activities that reduced raw material costs.

Net earnings increased to $22.4 million or $0.88 basic earnings per share in the fourth quarter of 2012 compared to net earnings of $7.8 million or $0.31 basic earnings per share last year. Restructuring costs in the quarter were $3.8 million (2011: $12.2 million) and related primarily to consolidation of production in Canada and in the U.K. operations.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believes must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers, to reduce packaging and track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage.

As part of its sustainability initiatives, the Company is in the final verification stages for LEED® certification at its new bakery in Hamilton, Ontario, which opened in 2011. LEED® stands for Leadership in Energy and Environmental Design and is widely recognized as a green building standard.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance and reduce the risk of errors in financial reporting. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results, or reduce the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

The installation of SAP and standardization of systems within the Company will create the opportunity to implement shared administration systems across the organization for the purpose of reducing costs and increasing efficiency. Such an implementation may not achieve the desired savings or efficiency, may result in disruptions to the Company's

operations, and may increase the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Intercompany Management Services Agreement with Maple Leaf

In 2012, the Company entered into an Intercompany Management Services Agreement with Maple Leaf replacing an agreement entered into in 1995. The agreement entered into during 2012 contains substantially similar terms and conditions as the pre-existing agreement. Under the agreement, Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management for operating involvement, mergers and acquisition transactions, information system services, engineering services, and access to bulk purchasing programs. The Company believes that this arrangement enables the Company to acquire goods and services of a higher quality or lower price than would be available to the Company on a standalone basis. However, there is no assurance that these services will be more effective, that the costs will be lower, or that the Company will be more profitable as a result of this arrangement. While the agreement allows the Company to offer employment to certain management employees of Maple Leaf who were dedicated to the provision of services to the Company in the event the agreement is cancelled, there is no assurance that such employees would accept such offer of employment and in addition, there is no guarantee that if the agreement is cancelled, that such a cancellation would not be materially disruptive to the Company and its operations or result in a material financial loss.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices or, where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's U.K. operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other. Accordingly, these exchange rate fluctuations could have a material adverse effect on the Company's financial condition and results of operations.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk and may, in some circumstances, subject the Company to loss. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

The Company completed the construction of a fresh bakery in Hamilton, Ontario, designed to replace a number of smaller and older facilities. Production has been transferred from two bakeries to the new bakery in Hamilton, with one more bakery remaining to be closed and the production transferred. The closure of and transfer of production from the remaining existing facility to the new bakery presents a number of risks including: errors in the assessment of labour rates and other operating costs, failure to achieve operating cost efficiencies, delays in completion of the project, disruptions to service levels during transfer of production, loss of reputation with customers, and adverse impacts on the quality of the Company's products. As a result of the construction of this facility, the Company's operations will be more concentrated in a fewer number of facilities, resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole. In addition, as part of the plan, the Company has announced the closure of some existing bakeries. The closure of existing bakeries carries risks such as inaccurate assessments of the costs of decommissioning, disruptions in service during closure, and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material adverse impact to the Company's financial condition and results of operations.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall.

The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. There is also a risk that not all of the product subject to the recall will be properly identified, that the recall will not be successful or not effected in a timely manner. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions and Divestitures

While the Company's focus has been the integration of existing operations and supply chain optimization, the Company continues to review opportunities for strategic growth through acquisitions. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of Management's attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, and may cause adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of the rate of return of acquisitions or investments, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired physical and intangible assets, which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these items could materially affect the Company's product sales, financial condition and results of operations.

The Company may from time to time determine that certain of its operations are not required to be owned to support its core business operations and may seek to sell an operation if it believes it can realize sufficient value from its sale. The sale may divert Management's attention from existing core businesses during the sale process, create difficulties in separating personnel and financial and other systems and create adverse effects on existing business relationships with suppliers and customers. Any of these items could materially adversely affect the Company's financial condition and result in a reduction of earnings beyond the earnings of any operations to be sold.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain compliance with all laws and regulations and maintains all permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations, has all necessary permits and licenses, and will be able to comply with such laws and regulations, permits and licenses in the future. Failure by the Company to comply with applicable laws and regulations and permits and licenses could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues in food ingredients, food safety, and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters and product liabilities, among other things. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 6,400 full- and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire or otherwise cease to have effect leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations. The Company's success is also dependent on its ability to recruit and retain qualified personnel. The loss of one or more key personnel could have a material adverse effect on the Company's financial condition and results of operations.

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, increase the Company's future funding requirements and cause volatility in the net periodic pension cost and the Company's financial results. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors and the Company attempts to maintain good relations with its distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operations and financial condition.

Competitive Industry Environment

The food industry is intensely competitive and in many product categories in which the Company operates there are low barriers to entry. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts and in product categories and markets characterized by low capacity utilization. Increased competition could result in reduced sales, margins, profits and market share, all of which could have a material adverse impact on the Company's financial condition and results of operations.

Product Pricing

The Company's profitability is dependent in large part on the Company's ability to make pricing decisions regarding its products that on one hand encourage consumers to buy yet on the other hand recoup development and other costs associated with that product. Products that are priced too high will not sell and products priced too low will lower the Company's profit margins. Accordingly, any failure by the Company to properly price its products could have a material adverse effect on the Company's financial condition and results of operations.

Supply Chain Management

Successful management of the Company's supply chain is critical to the Company's success. Insufficient supply of products threatens the Company's ability to meet customer demands while over capacity threatens the Company's ability to generate competitive profit margins. Accordingly, any failure by the Company to properly manage the Company's supply chain could have a material adverse effect on the Company's financial condition and results of operations.

Strategic Risk Management

Successful identification and management of the strategic risks facing the Company from time to time is critical to the Company's success. Failure to properly adapt to changes in strategic risks (such as changes in technology, the food industry, customers, consumers and competitors, among other things) could have a material adverse effect on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are discussed below:

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of: (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code, or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan assets and liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized employee benefit liabilities and comprehensive income (loss) will be affected.

Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2012	2011
Weighted average discount rate used to calculate net benefit plan expense	**4.50%**	5.00%
Weighted average discount rate used to calculate year-end benefit obligation	**3.75%**	4.50%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.00%**	6.50%

A 1% change in health care cost trend would not have a significant impact on the year-end obligation or the 2012 current service and interest costs.

($ thousands)	1% increase	1% decrease
Effect on end-of-year obligation	$ 76	$ (68)
Aggregate of 2012 current service cost and interest cost	$ 3	$ (3)

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, earnings and comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings, and comprehensive income (loss).

RECENT ACCOUNTING PRONOUNCEMENTS NOT YET ADOPTED

Financial Instruments – Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial

liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to off-set as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The Company will include the additional disclosures required by the amendments to IFRS 7 in its 2013 financial statements. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements,* that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31, *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adoption of IFRS 10, IFRS 11 and amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The impact of the adoption of IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 is not expected to be material to the financial statements, and the additional disclosures required by these standards will be included in its 2013 financial statements.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The Company will provide required additional disclosures on fair valued items beginning with its first quarter 2013 financial statements.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. These amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The Company will change the presentation of its consolidated statement of other comprehensive income starting in the first quarter of 2013.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other changes and additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

If the Company had adopted the portion of the new standard relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, and administrative fees being expensed as incurred in 2012, the impact would have been an increase in pre-tax pension expense of $3.6 million ($2.7 million after-tax) for the 2012 fiscal year. This would be offset through other comprehensive income (loss). Management is in the process of assessing the full impact of the remaining amendments to this standard.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is accumulated and communicated to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, is also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2012 and have concluded that such controls and procedures are effective.

In addition, there have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2012 and ended on December 31, 2012 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted Earnings per Share, Net Debt and Return on Net Assets ("RONA"). Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results, and reflects all sales and costs representative of on-going operational activities. It is defined as earnings from operations before restructuring and other related costs and other income (expense). The table below provides a reconciliation of net earnings as reported under IFRS in the audited consolidated statement of earnings for the years then ended to Adjusted Operating Earnings. Management believes that this is the most appropriate basis on which to evaluate operating results, as they are representative of operational results.

	December 31, 2012			
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Unallocated costs**	**Consolidated**
Net earnings				**$ 74,200**
Income taxes				**30,683**
Earnings from operations before income taxes				**$ 104,883**
Interest expense				**1,547**
Earnings from operations before interest and income taxes	**$ 88,116**	**$ 18,314**	**$ –**	**$ 106,430**
Other (income) expense	**(1,676)**	**41**	**–**	**(1,635)**
Restructuring and other related costs	**4,731**	**6,342**	**–**	**11,073**
Adjusted Operating Earnings	**$ 91,171**	**$ 24,697**	**$ –**	**$ 115,868**

	December 31, 2011			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 51,951
Income taxes				10,845
Earnings from operations before income taxes				$ 62,796
Interest expense				1,052
Earnings from operations before interest and income taxes	$ 85,046	$ (21,198)	$ –	$ 63,848
Other (income) expense	(49)	(365)	–	(414)
Restructuring and other related costs	14,860	31,497	–	46,357
Adjusted Operating Earnings	$ 99,857	$ 9,934	$ –	$ 109,791

	December 31, 2010			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 62,072
Income taxes				25,212
Earnings from operations before income taxes				$ 87,284
Interest expense				2,891
Earnings from operations before interest and income taxes	$ 87,639	$ 8,412	$ (5,876)	$ 90,175
Other (income) expense	(57)	–	5,876	5,819
Restructuring and other related costs	12,598	2,950	–	15,548
Adjusted Operating Earnings	$ 100,180	$ 11,362	$ –	$ 111,542

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate underlying financial operating results. It is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the audited consolidated statements of earnings for the years then ended to Adjusted Earnings per Share. Management believes this is the most appropriate basis on which to evaluate financial results as they are representative of operational results.

	December 31,		
($ per share)	**2012**	2011	2010
Basic earnings per share	**$ 2.92**	$ 2.04	$ 2.44
Restructuring and other related costs[(i)]	**$ 0.34**	$ 1.39	$ 0.46
Adjusted Earnings per Share	**$ 3.26**	$ 3.43	$ 2.90

(i) *Includes per share impact of restructuring and other related costs, net of tax.*

Earnings Before Interest, Taxes, Depreciation and Amortization

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

Net Debt (Cash)

The following table reconciles Net Debt (Cash) as disclosed in this Management's Discussion and Analysis to IFRS amounts in the audited consolidated balance sheets as at the dates indicated below. The Company calculates Net Debt as long-term debt and bank indebtedness, less cash and cash equivalents.

	December 31,		
($ thousands)	**2012**	2011	2010
Bank indebtedness	**$ –**	$ 3,153	$ 7,777
Current portion of long-term debt	**358**	2,452	2,332
Long-term debt	**2,921**	1,634	1,629
Sub-total	**$ 3,279**	$ 7,239	$ 11,738
Cash and cash equivalents	**(90,415)**	(59,223)	(84,401)
Net Debt (Cash)	**$ (87,136)**	$ (51,984)	$ (72,663)

Return on Net Assets (RONA)

RONA is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis upon which to evaluate long-term financial performance.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for

uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the risks associated with the management service agreement with Maple Leaf
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks related to capital expansion projects
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and divestitures
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.